

For targets other than the pattern's low, measure the height from the top of the wedge to the bottom of the wedge. For upward breakouts, add the height to the top of the wedge. For downward breakouts, subtract the height from the low at the start of the pattern. The result will be the target.

The lower portion of the table shows how often this works.

You can use other heights (half, two, or three times the height) in the computation to get targets closer or farther away.

Once you have a target, convert the target into a percentage of the current price. For example, if the top of the wedge is at 50 and the bottom is at 40, the height is 10. If the current price is 50, a climb of 10 would be a 20% rise. [Table 12.3](#) says that 46% of wedges will fail to see price rise more than 20%.

If price drops, the target is 40 (bottom of the wedge) and that's a \$10 drop from the current price of 50. Again, that's a 20% drop. In this case, [Table 12.3](#) says that 79% will fail to see price drop more than 20%.

Partial rise and decline. With most chart patterns, you'll want to wait for the breakout. An exception to the rule is if a partial rise or decline occurs. [Figure 12.2](#) shows a good example of a partial rise. It correctly predicts a downward breakout. A partial decline works in a similar manner, except price drops down from the top trendline, returns, and breaks out upward. See the Glossary ("Partial rise" or "Partial decline") for details.

Unfortunately, partial rises and declines look like they are taking shape during a normal pause that occurs partway across the pattern. Often, I'll see what I believe to be a valid partial rise or decline and wait for the regular breakout away. More aggressive traders or those with advanced skills may want to trade partial rises and declines to get into trouble sooner.

Busted trade. If you can tell when a stock will single bust or if you just take a chance that it'll single bust, you can make more money trading the stock using a busted pattern. Downward breakouts single bust 83% of the time on average, so you've a good chance of trading a winner when it (single) busts. With the new trend direction being upward, the potential gain is higher than for a downward move (as in a downward breakout or a busted upward pattern).